

Accounting Fundamentals

Connect business transactions to books and records so cash, trade and position movements can be explained and controlled.

1. What is the double-entry system?

ANSWER

Every accounting transaction affects at least two accounts so that total debits equal total credits and the accounting equation remains balanced.

EXAMPLE

Paying cash for equipment debits equipment and credits cash.

2. What is a journal entry?

ANSWER

A journal entry is the initial accounting record of a transaction showing the accounts affected, debit and credit amounts and an explanation.

EXAMPLE

Receiving a service fee of 1,000 in cash: debit cash 1,000 and credit fee income 1,000.

3. What is a ledger?

ANSWER

A ledger groups journal entries by account so that the running balance of each account can be tracked.

EXAMPLE

All cash-related journal entries are posted to the cash ledger account.

4. What are the golden rules of accounting?

ANSWER

Traditional rules are: debit the receiver and credit the giver for personal accounts; debit what comes in and credit what goes out for real accounts; debit expenses/losses and credit incomes/gains for nominal accounts.

EXAMPLE

Rent expense is debited because it is an expense, while cash is credited because cash goes out.

5. What is a balance sheet?

ANSWER

A balance sheet reports assets, liabilities and equity at a point in time. The core equation is $\text{Assets} = \text{Liabilities} + \text{Equity}$.

EXAMPLE

Cash, receivables and investments are assets; borrowings are liabilities.

6. What is a profit and loss statement?

ANSWER

The P&L; summarizes revenues and expenses over a period to determine profit or loss.

EXAMPLE

Trading-fee income minus operating expenses contributes to the period profit.

7. How can a securities purchase affect accounting records?

ANSWER

The accounting depends on classification and entity policy, but at a simple operational level the purchase increases an investment asset and reduces cash or creates a payable until settlement.

EXAMPLE

On trade date an investment may be recognized with a payable; on settlement the payable is cleared against cash.

8. What is an accrual?

ANSWER

An accrual recognizes income or expense when earned or incurred even if cash has not yet been received or paid.

EXAMPLE

Coupon interest earned but not yet received may be accrued.

9. What is a receivable?

ANSWER

A receivable is an amount owed to the entity by another party and is recorded as an asset.

EXAMPLE

A dividend declared and due to the investor may be recorded as a dividend receivable.

10. What is a payable?

ANSWER

A payable is an obligation to pay another party and is recorded as a liability.

EXAMPLE

A securities purchase awaiting cash settlement may create a settlement payable.

11. Why is accounting relevant to operations reconciliation?

ANSWER

Operations records eventually affect positions, cash and the general ledger. Reconciliation helps ensure transaction systems, custodians, bank statements and accounting records agree.

EXAMPLE

A missing settlement entry can create both a Nostro break and a general-ledger difference.

12. What is a trial balance?

ANSWER

A trial balance lists ledger account balances to check that total debits equal total credits before preparing financial statements.

EXAMPLE

If total debit balances equal 2 million, total credit balances should also equal 2 million.